

Name	AARTI SRIVASTAVA
Batch	
Roll no.	
Project Name	Fundamentals of Financial Operations

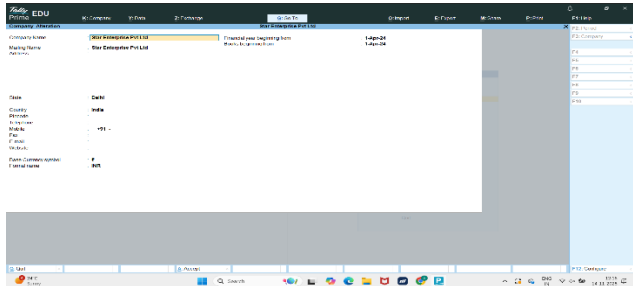
Question 1: Basics of Tally Prime (10 Marks)

Using the data provided, Mr. Aakash is setting up ledgers and entering transactions for Star Enterprises.

Q1.

1. a) What are the steps to create a new company in Tally Prime for Star Enterprises? What details are required for this setup? (2 marks)

Provide the solution in the box below:

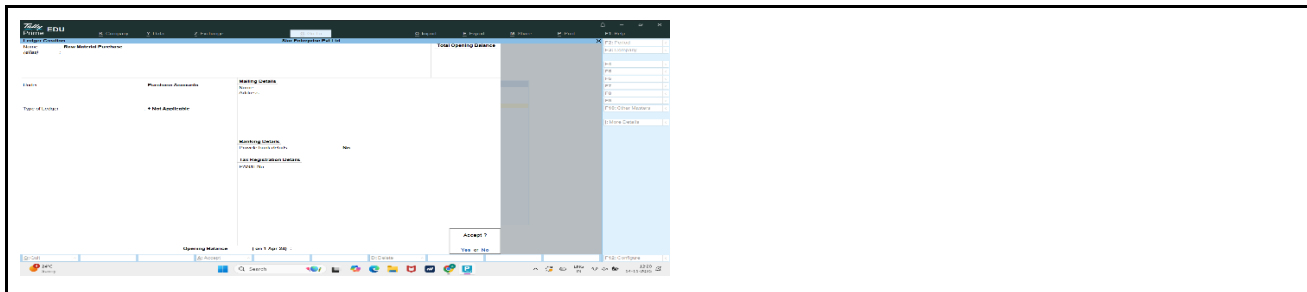


Steps:

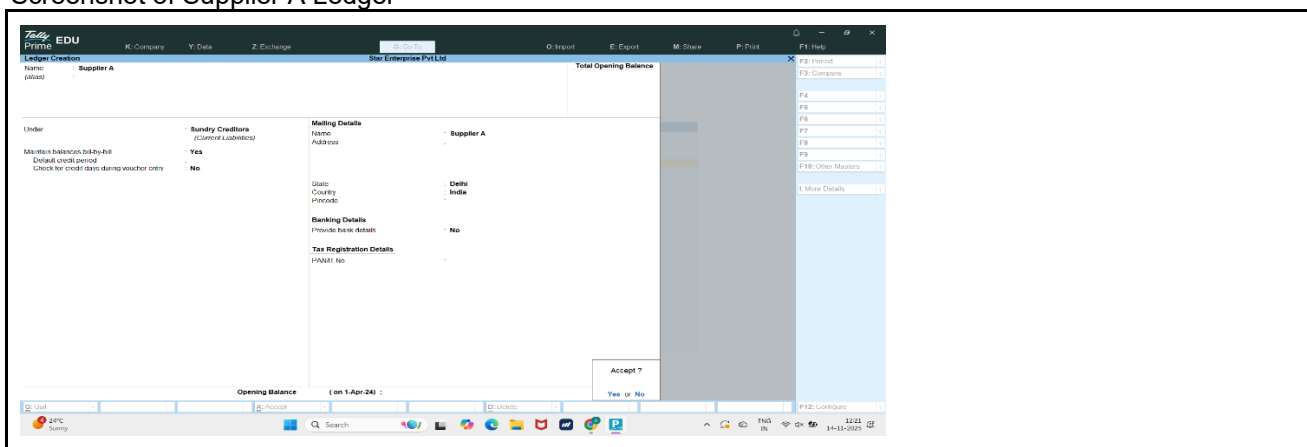
1. Open Tally Prime → Click Create Company.
2. Enter the Company Name → *Star Enterprises*.
3. Set Financial Year Beginning (e.g., 01-04-2024) and Books Beginning From date.
4. Fill in Company Details:
 - Mailing Name
 - Address
 - State
 - Country
 - PIN Code
5. Set Base Currency Information (₹ INR).
6. Enable or disable required features (GST, Inventory, Security, etc.) under F12 (Configurations) if needed.
7. Press Enter → Accept the screen to create the company.

1. b) Create company Star Enterprises Pvt. Ltd and create ledgers for "Raw Materials Purchase" from Supplier A on credit and categorize it under the appropriate group, recording the purchase made on April 1, 2024 (₹75,000 without GST). Paste the screenshot of the ledger and the voucher entry below. (3 marks)

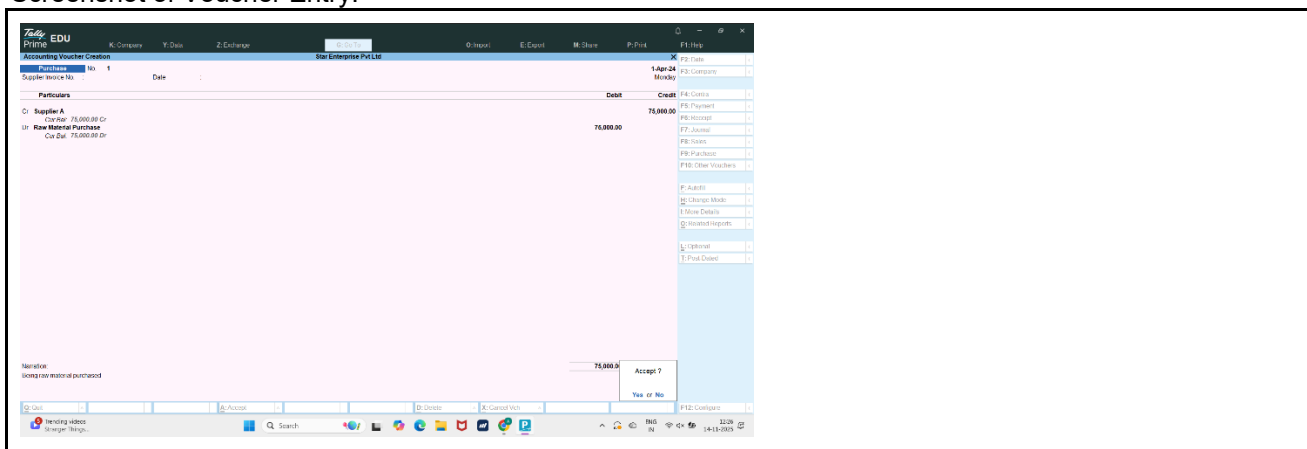
Screenshot of Ledger Purchases Ledger



Screenshot of Supplier A Ledger

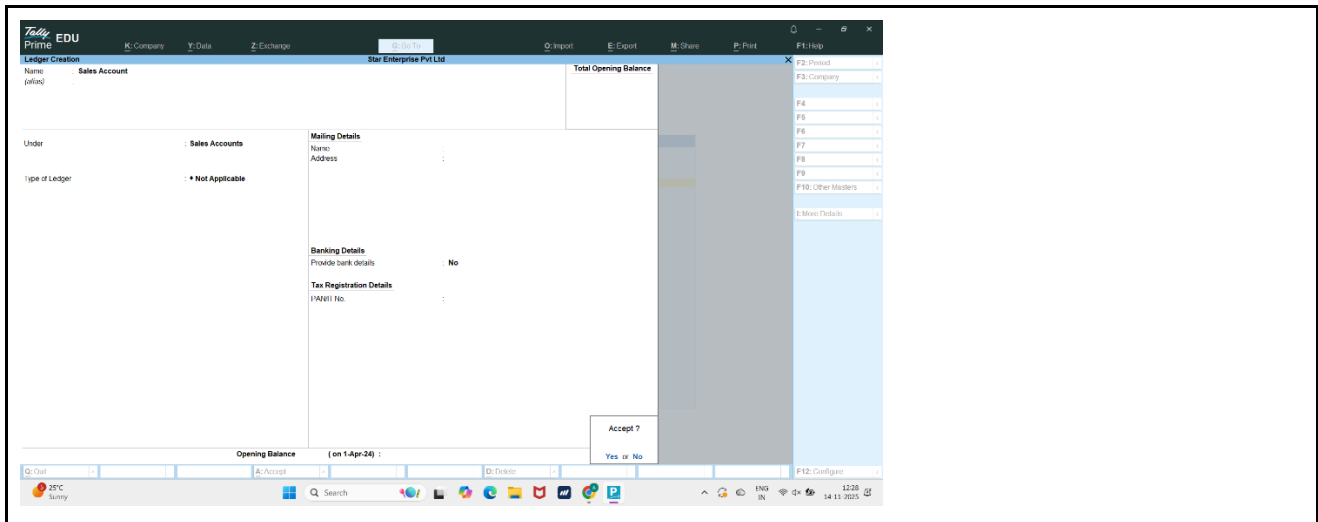


Screenshot of Voucher Entry:

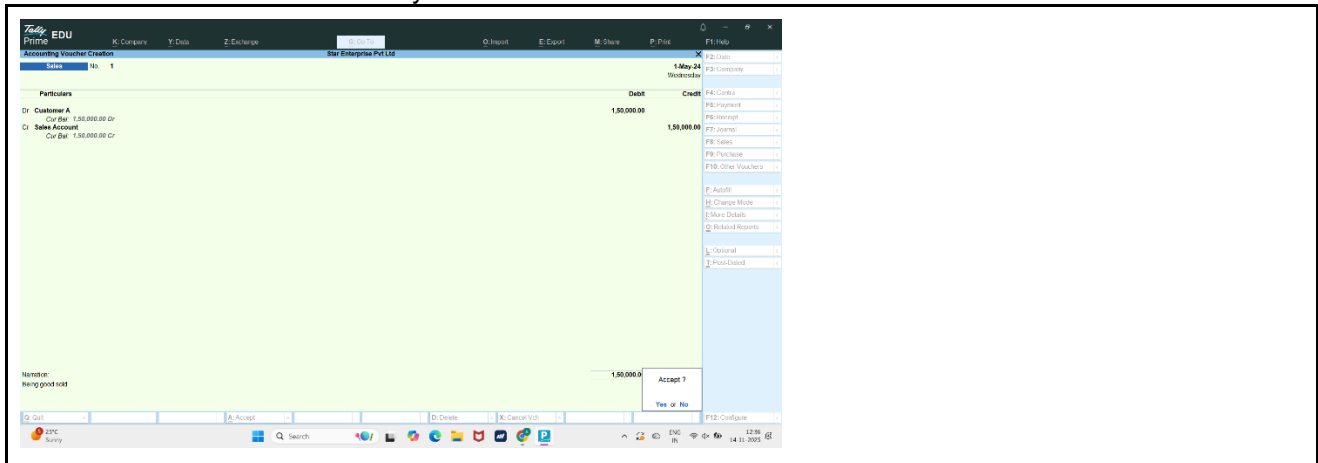


1.c) Record the sale transaction of ₹1,50,000 on May 1, 2024, and exclude the GST details in Tally Prime. Paste the screenshot of the Sales ledger and entry below. (2 marks)

Screenshot of Sales Ledger:

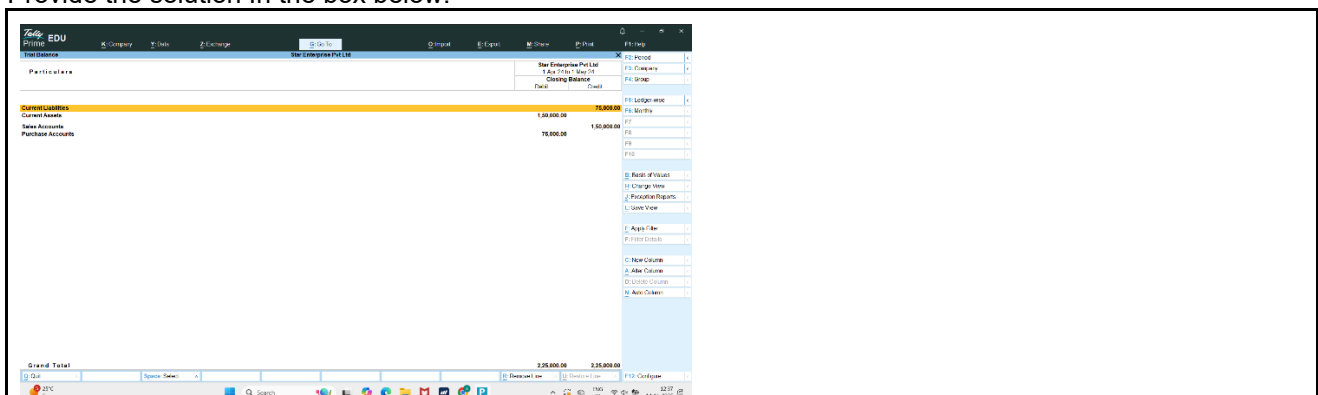


Screenshot of Sales Voucher Entry:



1.d) Explain how Mr. Aakash can check the trial balance to ensure all entries have been made accurately. Also, mention the shortcut key to view the detailed version of the trial balance. Also, explain the steps to see the opening balance and trial balance (3 marks)

Provide the solution In the box below:



How to Check the Trial Balance

1. From the **Gateway of Tally**, go to **Display** → **Trial Balance**.
2. The Trial Balance will show **debit and credit totals**.
3. If both are equal, entries are posted correctly; if not, errors exist.

Shortcut Key for Detailed Trial Balance

Press **Alt + F5**

→ This displays the **detailed view** of all ledgers under each group.

Steps to View Opening Balance in Trial Balance

1. Open **Trial Balance**
2. Press **F12 (Configure)**
3. Enable:
 - **Show Opening Balances: Yes**
4. Press Enter

→ Now the trial balance will show *Opening Balance, Transactions, and Closing Balance*.

Question 2: Creating Financial Statements in Tally Prime (10 Marks)

At the end of the quarter (June 30, 2024), Mr. Aakash is required to prepare the Profit & Loss Statement and Balance Sheet.

Q2.

2.a) Generate the Profit & Loss Statement in Tally Prime (without GST and TDS) for April-June 2024.

Paste the screenshot of the day book and multi-ledger alteration screen of the company below. (4 marks)

Screenshot of Profit & Loss Statement (detailed):

The screenshot shows the Profit & Loss Statement in Tally Prime. The 'Particulars' column lists 'Profit & Loss A/c' with a balance of 1,00,000.00. The 'Debit' column shows 'Opening Balance' of 1,00,000.00 and 'Closing Balance' of 1,00,000.00. The 'Credit' column shows 'Profit' of 1,00,000.00. The 'Total' row shows a total of 1,00,000.00.

Particulars	Debit	Credit
Profit & Loss A/c		1,00,000.00
Opening Balance	1,00,000.00	
Closing Balance		1,00,000.00
Profit		1,00,000.00
Total	1,00,000.00	1,00,000.00

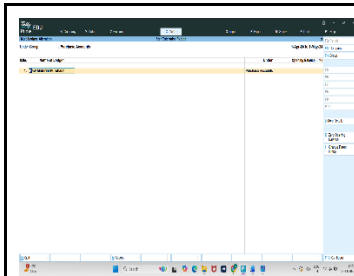
Steps to Generate P&L for April-June 2024 (without GST/TDS)

1. Open **Tally Prime** → Load the required company.
2. From the **Gateway of Tally**, go to:
Profit & Loss A/c (Reports → Profit & Loss).
3. Press **F2: Period** → Enter:
 - **From:** 01-04-2024
 - **To:** 30-06-2024
4. Ensure that no GST or TDS ledgers are used in the transactions.
5. The P&L for April-June 2024 will now be displayed.

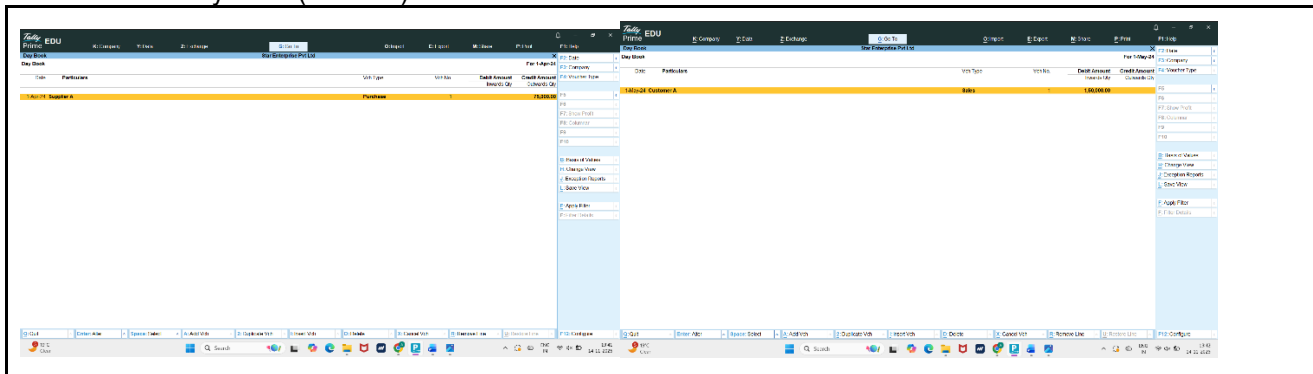
Screenshot of Multi Ledger Alteration Screen:

The screenshot shows the Multi Ledger Alteration Screen in Tally Prime. The 'Particulars' column lists 'Profit & Loss A/c' with a balance of 1,00,000.00. The 'Debit' column shows 'Opening Balance' of 1,00,000.00 and 'Closing Balance' of 1,00,000.00. The 'Credit' column shows 'Profit' of 1,00,000.00. The 'Total' row shows a total of 1,00,000.00.

Particulars	Debit	Credit
Profit & Loss A/c		1,00,000.00
Opening Balance	1,00,000.00	
Closing Balance		1,00,000.00
Profit		1,00,000.00
Total	1,00,000.00	1,00,000.00



Screenshot of day book (detailed):



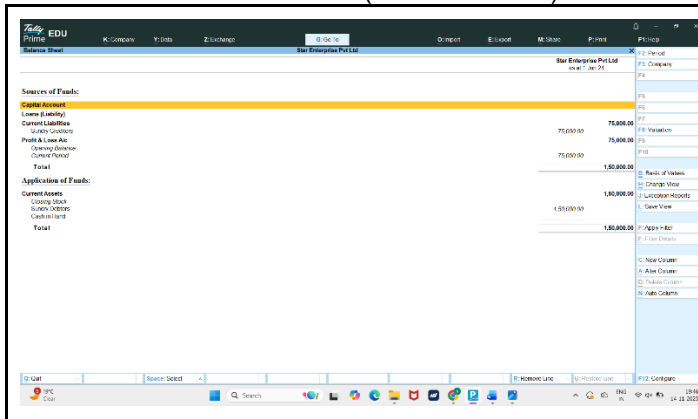
2.b) Describe the process of viewing the vertical version of the Balance Sheet in Tally Prime. Paste the screenshot of the Balance Sheet (without GST and TDS) below. (2 marks)

Provide the solution In the box below:

Steps:

1. Go to **Gateway of Tally → Balance Sheet**.
2. Press **Alt + N** (or select **Change View**) to toggle between **Horizontal** and **Vertical** formats.
3. Select **Vertical** to view the Balance Sheet in vertical format.
4. Press **F2** and enter the desired dates (for example, 01-04-2024 to 30-06-2024).
5. Ensure GST/TDS ledgers are not included.

Screenshot of Balance Sheet (vertical version):



2.c) Explain steps to print the Profit & Loss Statement and Balance Sheet to PDF for presentation to management. (2 marks)

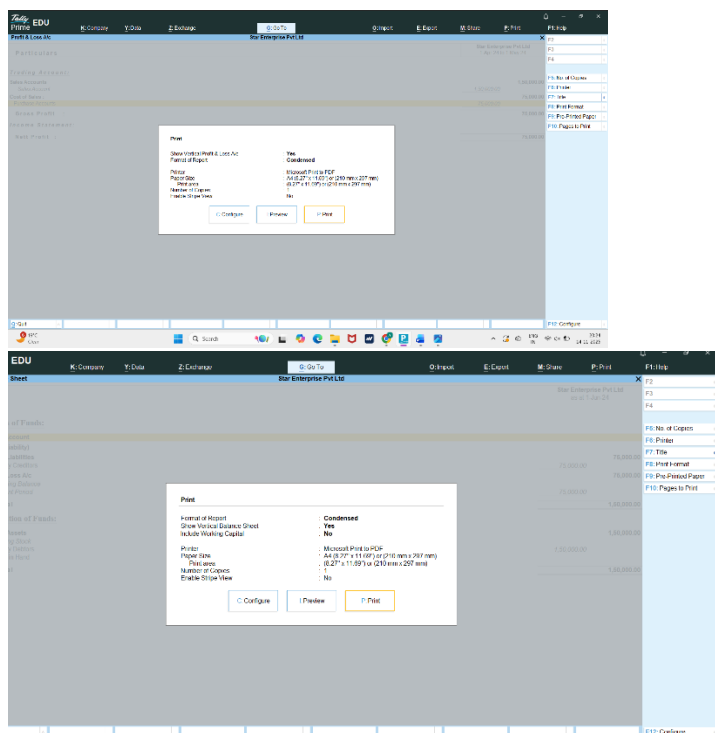
Provide the solution In the box below:

Steps to Print P&L to PDF

1. Go to **Profit & Loss A/c**.
2. Set the period (**F2**) for April–June 2024.
3. Press **Ctrl + P** (Print).
4. Choose **Print to PDF**.
5. Enter file name → Select location → Press **Enter** to save PDF.

Steps to Print Balance Sheet to PDF

1. Go to **Balance Sheet** → **Vertical View** (**Alt + N**).
2. Press **Ctrl + P**.
3. Choose **Print to PDF**, enter the file name, and save.



2.d) Explain steps to export the Profit & Loss Statement and Balance Sheet to Excel for presentation to management. (2 marks)

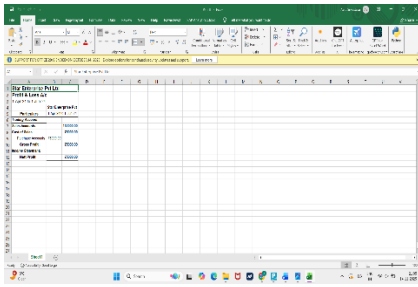
Provide the solution In the box below:

Steps to Export P&L to Excel

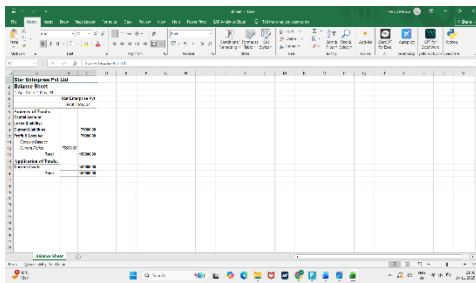
1. Open **Profit & Loss A/c** for April–June 2024.
2. Press **Ctrl + E** (Export).
3. In **Format**, select **Excel (Spreadsheet)**.
4. Choose destination folder → Enter filename.
5. Accept the screen to export.

Steps to Export Balance Sheet to Excel

1. Go to **Balance Sheet** → **Vertical View**.
2. Press **Ctrl + E**.
3. Select **Excel (Spreadsheet)** as the format.
4. Save the file.



Profit and Loss statement



Balance Sheet

Question 3: Filing GST Returns Using Tally Prime (10 Marks)

Star Enterprises must file quarterly GST returns for its sales and purchase transactions. Following are the details related to GST.

		HSNISAC & Related Details	Specify Details Here
State	Delhi	HSN/SAC Details	84713010
Registration type	Regular	Description	Computers
Assessee of Other Territory	No	GST Rate & Related Details	Specify Details Here
GSTIN/UIN	07AAACD3004G1ZB	Taxability Type	Taxable
Periodicity of GSTR-1	Monthly	GST Rate	18%
e-invoicing applicable	No	Cess Valuation Type	Not Applicable
e-Way Bill applicable	No	Cess Rate	No
		Applicable for Reverse Charge	No
		Eligible for Input Tax Credit	Yes

Q3.

3.a) Describe the steps to configure GST in Tally Prime in the existing Company with the following details: Paste screenshots showing the GST configuration and Screenshots of GST Rate and other details. (4 marks) Provide the solution In the box below:

Step 1: Enable GST in Company Features

1. Open Tally Prime → Company.
2. Go to F11 → Statutory & Taxation.
3. Set Enable Goods and Services Tax (GST) → Yes.
4. Set/Alter GST Details → Yes.

Step 2: Enter Company GST Details

Fill the screen as follows:

Field	Value
State	Delhi
Registration Type	Regular
GSTIN/UIN	07AAACD3004G1ZB
Assessee of Other Territory	No
Periodicity of GSTR-1	Monthly
e-Invoicing Applicable	No
e-Way Bill Applicable	No
Applicable for Reverse Charge	No

Step 3: Create or Alter HSN/SAC Code

Path:

Gateway of Tally → Create → Stock Item → (Select HP Computer)

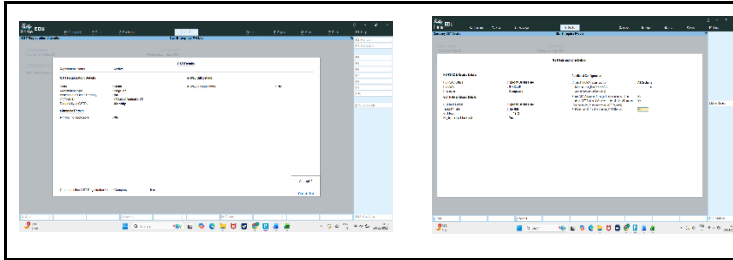
OR

Alter → Stock Item

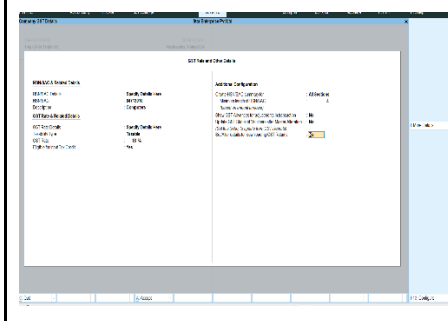
Enter HSN details:

Field	Value
HSN Code	84713010
Description	Computers
Taxability	Taxable
GST Rate	18%
Eligible for ITC	Yes
Cess	Not applicable

Screenshot of GST Configuration:



Screenshot of GST Rate and other details:



3.b) Show the below transaction in Tally Prime. Also, explain the type of GST applicable

01 Aug 2024: Sold 10 HP computers @ ₹25,000 each to a customer A living in Delhi (unregistered). Also collected 18% GST on it

Paste the screenshot of the Voucher entry. (2 marks)

Provide the solution in the box below:

Date: 01 August 2024

Details: Sold 10 HP computers @ ₹25,000 to an unregistered customer in Delhi + 18% GST.

Type of GST Applicable:

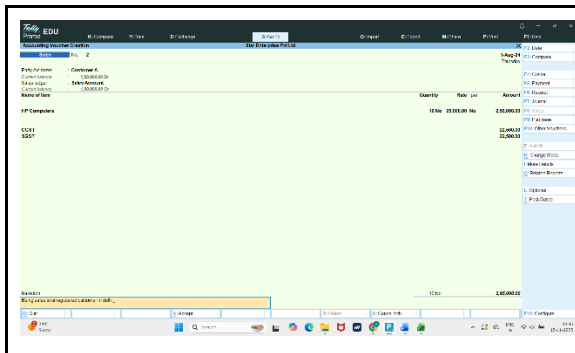
Since seller and buyer are both in Delhi, this is an intra-state sale →

→ CGST + SGST (9% + 9%)

Voucher Entry Steps

1. Go to Sales Voucher (F8).
2. Select Sales Ledger (Sales @18% GST).
3. Select Customer: Cash/Unregistered Buyer (State: Delhi).
4. Select Item: HP Computer, Qty: 10, Rate: 25,000.
5. GST auto-calculates:
 - CGST 9%
 - SGST 9%

Screenshot of voucher entry:



3. c) Show the below transaction in tally prime. Also, explain the type of GST applicable

02 Aug, 2024: Solg 6 HP computers @26000 each to M/S PQR a registered customer in Mumbai having GSTIN as 27AAUFM1756H1ZT.

Paste the screenshot of the Voucher entry. (2 marks)

Provide the solution In the box below:

Date: 02 August 2024
 Buyer: M/S PQR, GSTIN 27AAUFM1756H1ZT, State Maharashtra
 Items: 6 HP computers @ ₹26,000.
 GST: 18%

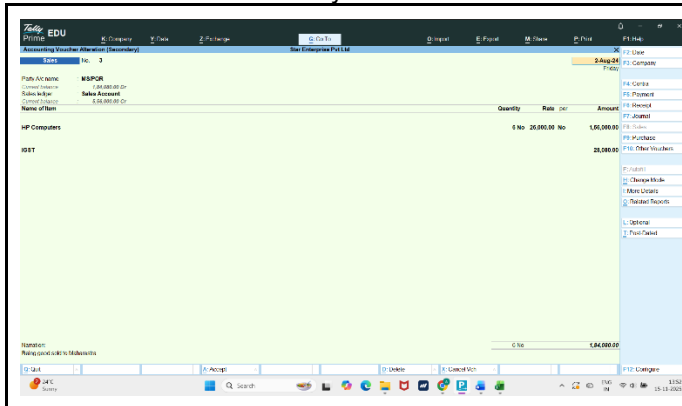
Type of GST Applicable:

Since the buyer is in another state (Maharashtra) →
 → Interstate sale → IGST (18%)

Voucher Entry Steps

1. Open F8 – Sales Voucher.
2. Select Customer: M/S PQR (State: Maharashtra, GSTIN updated).
3. Select Sales Ledger → Sales @18% IGST.
4. Select HP Computers (Qty 6 × ₹26,000).
5. Calculate the GST .

Screenshot of voucher entry:



3.d) Explain the route to check the GSTR 1 report in tally prime. Also, provide the screenshot of GSTR 1 for the month of Aug 2024 (2 marks)

Steps to View GSTR-1

1. Go to the Gateway of Tally.
2. Select Display More Reports.
3. Select Statutory Reports.
4. Select GST Reports.
5. Choose GSTR-1.
6. Press F2 and set the period to:
01-08-2024 to 31-08-2024

You will now see sections like:

- B2B Invoices
- B2C Large
- B2C Small
- Credit/Debit Notes

Star Enterprises paid ₹10,000 in professional fees to consultants in May 2024, which is subject to TDS.

4.a) Explain how to activate TDS in Tally Prime. Also, explain how to configure professional fees, including the 10% TDS rate for the consultant's payment. (4 marks)

Step 1: Activate TDS in Tally Prime

1. Open Tally Prime → Company.
2. Press F11 → Statutory & Taxation.
3. Set Enable Tax Deducted at Source (TDS): Yes.
4. Set/Alter TDS Details: Yes.
5. Enter the following company TDS details:
 - Deductor Type: Company / Individual (as applicable)
 - Residential Status: Resident
 - TAN Number: (enter company's TAN)
 - Responsible Person: (Enter Name)

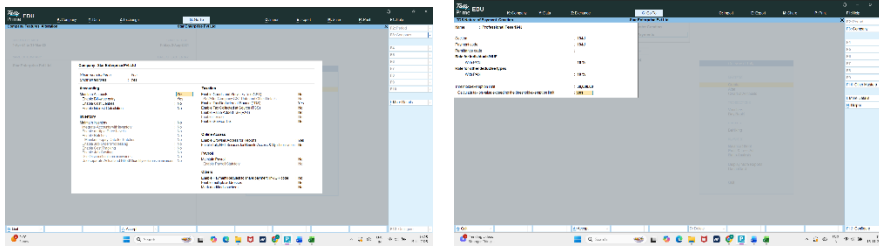
Step 2: Create Nature of Payment – Professional Fees (10% TDS)

1. Go to Gateway of Tally → Create → Statutory Info → TDS Nature of Payment.

2. Select Professional Fees (Section 194J).
3. Set the following:
 - Rate for Individuals/HUF: 10%
 - Payment Code: 194J
 - Threshold Limit: 30,000
 - Is TDS Applicable?: Yes

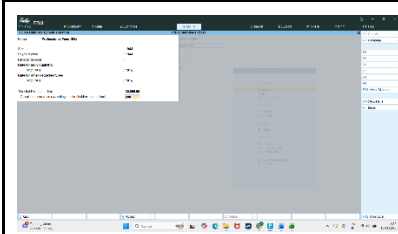
Step 4: Create TDS Ledger

1. Go to Ledgers → Create
2. Name: TDS – Professional Fees
3. Under: Duties & Taxes
4. Type of Duty/Tax: TDS
5. Nature of Payment: Professional Fees (10%)

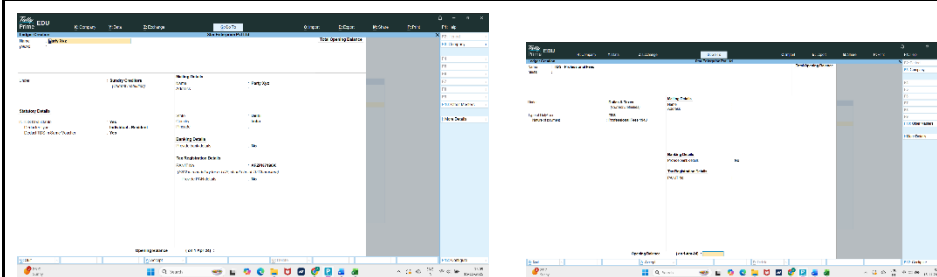


4.b) Pass TDS entry of making ₹40,000 amount due to “party” having PAN number AFZPK7190K (resident individual) for professional fees expense on 01 Sept, 2024. Paste the screenshot of the TDS nature of payment, Tax ledger, and voucher entry below. (3 marks)

Screenshot of TDS Nature of Payment:



Screenshot of Tax Ledger (TDS Ledger):



Screenshot of TDS Voucher Entry:

Particulars	Debit	Credit
TDS - Professional Fees	10,000.00	
TDS - Party A/c		10,000.00
TDS - TDS - Professional Fees		10,000.00
Total	10,000.00	10,000.00

4.c) How can Mr. Aakash generate a TDS report in Tally Prime to verify the total TDS deducted for May 2024? Paste the screenshot of the report below. (2 marks)

Provide the solution In the box below:

Steps to View TDS Report

1. Go to the Gateway of Tally.
2. Select Display More Reports.
3. Choose Statutory Reports.
4. Select TDS Reports.
5. Choose Deducted During the Period.
6. Press F2 (Period) → Enter:
 - From: 01-05-2024
 - To: 31-05-2024

You will see:

- Total professional fees recorded
- TDS amount deducted
- Party-wise breakup

Screenshot of TDS Report:

Particulars	Debit	Credit
TDS - Professional Fees	10,000.00	
TDS - Party A/c		10,000.00
TDS - TDS - Professional Fees		10,000.00
Total	10,000.00	10,000.00

4.d) Explain how to prepare a TDS return report in Tally Prime for filing with the tax authorities for the quarter. (2 marks)

Paste your answer here:



Question 5: Bank Reconciliation in Excel (10 Marks)

5.a) Clearly identify and explain the discrepancies between the bank statement and the company's cash book. (3 marks)

Provide the solution In the box below:

Comparing the Bank Statement and Cash Book, the discrepancies are:

1. Interest on FD – Recorded by Bank but not by Company

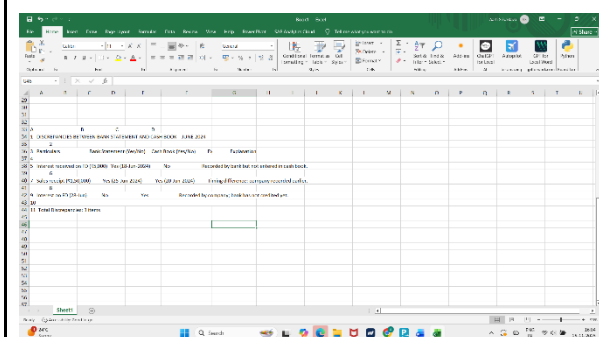
- Bank Statement: Shows ₹5,000 interest received on 18 June.
- Cash Book: Does not record this interest.
→ Reason: The company has not passed the journal entry for interest income.

2. Sales Receipt – Timing Difference

- Bank Statement: Sales receipt of ₹1,50,000 on 25 June.
- Cash Book: Sales receipt recorded on 20 June.
→ Reason: Company recorded receipt earlier; bank credited it later (normal timing difference).

3. Interest on FD Dated 28 June – Recorded in Cash Book but Missing in Bank Statement

- Cash Book: Shows interest on FD on 28 June (amount not entered).
- Bank Statement: Does not show any interest on 28 June.
→ Reason: Company recorded income that the bank has not credited yet — an uncredited bank item.



5.b) Prepare the Bank Reconciliation Statement (reaching at cash book balance at the end) for Star Enterprises as of June 30, 2024, using the provided data. Paste the screenshot of your Excel BRS below. (5 marks)

Screenshot of Bank Reconciliation Statement in Excel:

Sl. No.	Particulars	Amount (₹)
1	BANK RECONCILIATION STATEMENT - STAR ENTERPRISES	
2	AS ON 30.06.2020	
3		
4	Particulars	Amount (₹)
5		
6	Closing Balance as per Cash Book	1,75,000
7		
8	Add: Amount recorded in Cash Book but not credited by Bank	
9	Interest on 11 movement in Cash Book	2,000
10		
11		
12		
13	Less: Amount credited by Bank but not recorded in Cash Book	
14	Interest on 11 movement in Cash Book	1,000
15		
16		
17	Less: Amount credited by Bank but not recorded in Cash Book	
18		
19	Less: Amount credited by Bank but not recorded in Cash Book	
20		
21		
22	Closing Balance as per Cash Book	1,75,000
23		
24	Less: Difference due to timing of entries	3,000
25		
26		
27	Final Reconciled Cash Book Balance	1,72,000
28		
29		
30		

5.c) Discuss how regular preparation of BRS can prevent financial frauds and ensure better cash flow management in a company like Star Enterprises. (2 marks)

Provide the solution In the box below:

Sl. No.	Particulars	Amount (₹)
47	BANK RECONCILIATION STATEMENT (BRS) - IMPORTANCE	
48	STAR ENTERPRISES - QUESTION 362	
49		
50		
51	Key Benefit	
52		
53	Prevents Financial Fraud	
54	Helps detect unauthorized withdrawals, fake entries, altered cheques, or manipulation of bank records.	
55		
56	Ensures Accurate Cash Flow	
57	Provides the true available bank balance, enabling better planning of payments and avoiding cash shortages.	
58		
59	Detects Errors	
60	Identifies missing entries, double posting, wrong amounts, or delayed entries in a cash book or bank book.	
61		
62	Strengthens Financial Control	
63	Enhances transparency and accuracy, improves audit readiness, and builds trust with management.	
64		
65		
66	Summary: Regular BRS improves financial accuracy, reduces fraud risk, and supports better cash flow management for Star Enterprises.	
67		
68		
69		
70		
71		

1. Prevents Financial Fraud

- Helps detect **unauthorized withdrawals, altered cheques, and fictitious entries**.
- Highlights **duplicates, delayed entries, or manipulated transactions** by employees.
- Ensures that **every transaction recorded by bank matches** with company records.

2. Improves Cash Flow Accuracy

- Ensures the business knows the **real cash available** for payments.
- Identifies **delayed bank deposits or uncleared cheques**, allowing better planning.
- Prevents **cash shortages or payment failures** due to inaccurate balances.

3. Ensures Accounting Accuracy

- Detects errors in **posting, omissions, or double entries**.
- Ensures **income earned (interest)** and **charges deducted** by bank are properly recorded.

4. Enhances Financial Integrity

- Builds trust with auditors, management, and stakeholders.
- Provides proof that the business maintains **accurate financial controls**